

Business Performance

LEAD IN:

Match these newspaper headlines with the extracts they belong to. Decide why the headlines are good or bad news.

1-h
2-g
3-c
4-b
5-d
6-e
7-a
8-f

1 Titanic Enterprises go under 2 Air New Zealand in the black 3 OLDIES RECORDS COVER COSTS 4 HONECKER LTD. GO TO THE WALL 5 BRIZAL COFFEE BREAK EVEN 6 Marks & Engsel go bankrupt 7 LIVERPOOL F.C. IN THE RED 8 Predictor Inc. make a profit	a After a series of expensive transfer deals the club has failed to meet financial goals. b The cooperative has run out of capital and had to close all its branches. c The music firm was a hit with investors as record revenues matched expenses. d S American shareholders had grounds for optimism as news filtered through of a probable return to profitability. e Catastrophic results in E Europe led to the company's collapse on the Berlin stock exchange. f The futurology specialists will report a miraculous return on investment at tomorrow's AGM. g Profitability soared as sales of flights to rugby internationals took off. h As the company's stock sank to rock-bottom, chairman Leonard Caprio described it as 'only the tip of the iceberg'.
--	--

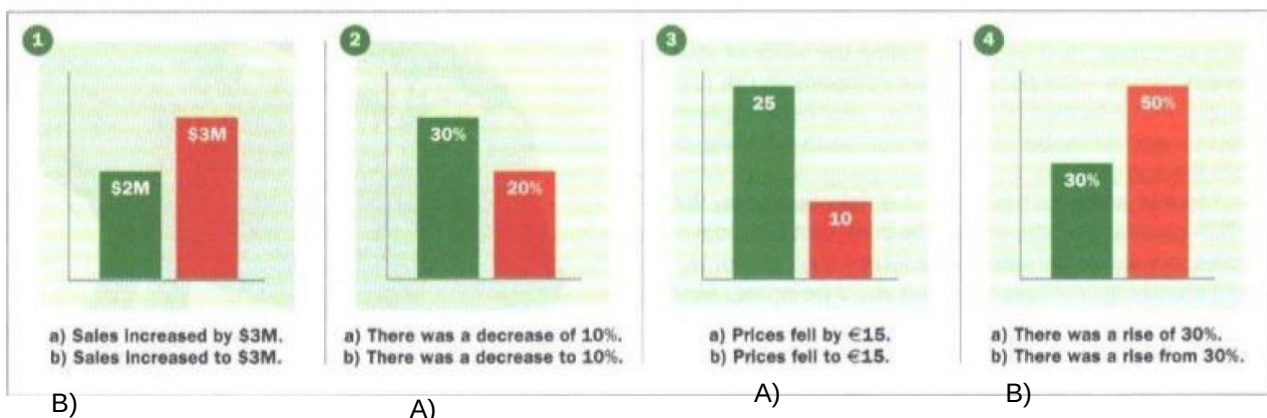
VOCABULARY

1. Mark sentences 1-8 and a)-h) from a financial report ↗, ↘, or → to show whether the words in **bold** indicate an increase, a decrease, or stability. Which two phrases mean something else?

- | | |
|---|--|
| <p>1-C 1. Last year our billings rose by 45%. ☐</p> <p>2-G 2. Variable costs are falling. ☐</p> <p>3-F 3. The book value of our assets has jumped. ☐</p> <p>4-A 4. We expect fixed costs to stabilize. ☐</p> <p>5-B 5. In 2001 our stock slid to a record low. ☐</p> <p>6-D 6. Production costs fluctuate over the year. ☐</p> <p>7-H 7. Liquidity will dip if payments are late. ☐</p> <p>8-E 8. Liabilities reach a high when business is slow in August. ☐</p> | <p>A. Our overheads should level off. ☐</p> <p>B. Our shares slumped during the crash. ☐</p> <p>C. Our turnover almost doubled. ☐</p> <p>D. Cost of sales varies from month to month. ☐</p> <p>E. Our debt peaks at the of summer. ☐</p> <p>F. The value of our buildings and equipment has climbed. ☐</p> <p>G. Our operating costs are dropping. ☐</p> <p>H. Cash flow will deteriorate if we allow customers more credit. ☐</p> |
|---|--|

Now match sentences 1-8 to those with a similar meaning a-h.

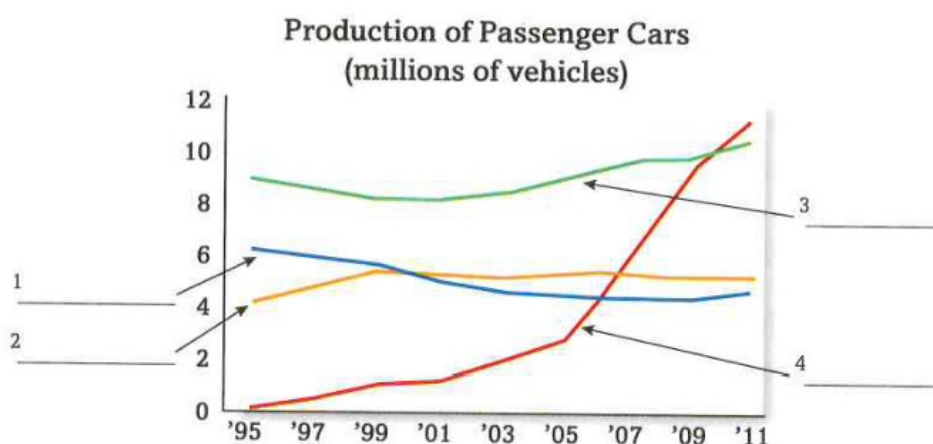
2. Choose the correct label a) or b) for each graph.



Business communication | Describing trends

- 1 58▶** A consultant is presenting the graph below about car production in four countries. Listen and label the graph with the names of the countries from the list.

Japan USA Germany China



Key expressions

Describing changes

... rose / increased / grew.
 ... fell / decreased / declined / dropped.
 ... has remained stable.

Giving figures

... rose by 10%, from \$20m to \$22m.
 The price remained stable at €17.50.

- 3** Work with a partner. Take turns to ask and answer questions about the graph in **1**, using the verbs in **2**.

Example: A Did production rise in China at the end of the nineties?

B Yes, it did.

A Has production increased in the USA since 1997?

B No, it hasn't. It's declined.

- 4 58▶** Look at these sentences from the audio. Decide which country they are describing, using the graph in **1**. Then listen and check your answers.

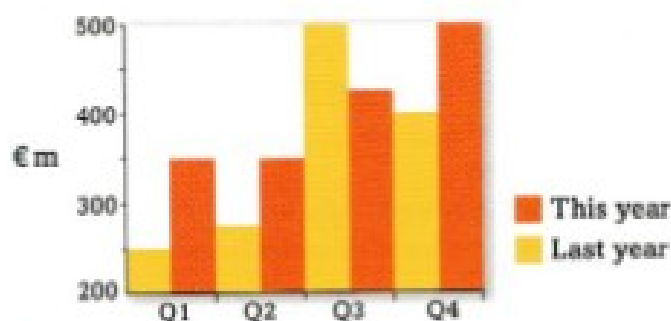
- Car production grew **from** five **to** five point five million at the end of the nineties.
- Since 1999, it has remained stable **at** just under six million vehicles per year.
- In fact, new car production has fallen **by** two million since 1997.

- 5** Look at how *from*, *to*, *at*, and *by* are used in **4**. Then complete the description of a company's sales below, using each word once.

Our sales went up _____ 500 units, _____ 2,500 in October _____ 3,000 in November. They stayed _____ 3,000 units in December.

Business communication

Soft drinks sales in Europe



- 1** Look at soft drinks sales for last year and complete the presentation with prepositions from the list.

at to by from to by to

Last year sales started the year ¹ at 250 million euros. They rose ² from 250 million in the first quarter ³ to 275 million euros in the second quarter. In the next three months, they then increased ⁴ by 225 million ⁵ to 500 million euros. Unfortunately they then fell ⁶ by 100 million euros ⁷ to a final total of 400 million euros in the last three months of the year.

- 2** Look at the sales for last year and this year and choose the correct answer from the words in *italics*.

As I said before, our sales ~~rose~~ / *declined* to 500 million euros in the third quarter of last year. Why did they go up so dramatically? This was thanks to the successful launch of our new sports drink 'Vitality'. But as you know, we then had that problem with the contaminated drinks can, and our sales ² *grew* / ~~dropped~~ in the final quarter to 400 million euros.

That contamination incident continued to have a negative effect on our reputation at the beginning of this year. As a result, sales ³ ~~decreased~~ / *increased* by 50 million euros in the first quarter. They then ⁴ ~~remained stable~~ / *grew* at 350 million euros for the next three months. However, since June our reputation has improved and our sales have ⁵ ~~risen~~ / *fallen* every month. ⁶ ~~increasing~~ / *decreasing* to reach 500 million euros at the end of this fourth quarter.

- 3** Are these sentences true for your country? Correct the sentences which are false.

- House prices have fallen dramatically this year.
- The price of petrol has risen in the last three months.
- The number of unemployed people dropped last year.
- Average temperatures have grown in the last 30 years.
- The retirement age has increased in the last ten years.
- Food prices have remained stable in recent months.
- Jobs in production are declining.
- The number of university students has decreased slightly in the last twenty years.

Extension task

3. Match the causes and effects in each set of four below.

- | | |
|--|---|
| 1. There was a considerable improvement in the company's image | A. as a result, debt will grow slightly . |
| 2. We plan to acquire new technology; | B. the company enjoyed moderate growth . |
| 3. As a result of its strategic alliances, | C. a sudden surge in redundancies. |
| 4. A wave of corporate raids resulted in | D. thanks to a joint venture with a prestigious American corporation. |
| 5. After the merger, our profitability will improve significantly | E. profits will shoot up dramatically . |
| 6. Due to lower labour costs, | F. as a consequence of their diversification into new markets. |
| 7. They saw a slight increase in sales | G. because of rumours of hostile takeovers. |
| 8. Share prices often go up sharply | H. as a result of economies of scale. |

GRAMMAR



4. The phrases in bold in 3 describe different degrees of change. Put them in order from smallest (-) to largest (+).

	-	→	+
ADVERB VERB	grow slightly	go up sharply	shoot up dramatically improve significantly
ADJECTIVE + NOUN	slight increase	moderate growth	considerable improvement sudden surge